

A RULE-BASED TREND SYSTEM

ClaudeFX

The Forex Trend-Following Playbook
for Currency Pairs, Metals & Indices

EURUSD

GBPUSD

AUDUSD

USDJPY

EURJPY

USDCAD

NZDUSD

Extra caution: XAUUSD • GBPJPY • NAS100 • US30

VERSION 2.0 • H1 TREND / M15 ENTRY

*For education and systematic backtesting. Not financial advice.
No EMA system wins on every pair or condition without testing and refinement.*

PREMIUM SOURCE STRATEGY SERIES

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CHAPTER 1

Introduction & Risk Disclaimer

ClaudeFX is a rules-based trend-following system adapted for Forex majors, select cross pairs, and cautious use on metals and indices. It pairs a higher-timeframe trend filter with a lower-timeframe entry trigger, giving every decision an explicit, checkable condition.

This version aligns closely with how many discretionary trend traders already approach the Forex market — EMA structure, pullback or breakout entries, and volatility-adjusted stops. That familiarity makes it easier to sanity-check against price action, but it does not make it a guaranteed winner.

RISK DISCLAIMER

This playbook is provided for educational and systematic-testing purposes only. It does not constitute financial advice. No EMA-based strategy wins consistently across all currency pairs and market conditions without testing and refinement.

Backtest over several years and multiple pairs, then forward-test on a demo account before risking real capital.

What Changed From the Synthetic-Index Version

The timeframes are stepped up (H1/M15 instead of M5/M1) to match Forex's slower, session-driven rhythm. Stops are now structure-based (swing high/low) rather than fixed points, take-profit targets are wider, and a news filter and session filter have been added to account for Forex-specific volatility drivers that don't exist on synthetic indices.

CHAPTER 2

Markets & Timeframes

This system is built around major and liquid cross pairs. A small set of higher-volatility instruments can be traded with the same rules but require extra caution and tighter oversight.

Recommended Markets

Recommended	Use Extra Caution With
EURUSD	XAUUSD (Gold)
GBPUSD	GBPJPY
AUDUSD	NAS100
USDJPY	US30
EURJPY	
USDCAD	
NZDUSD	

Timeframe Structure

Role	Timeframe	Purpose
Trend Timeframe	H1 (1 Hour)	Establishes directional bias via EMA structure
Entry Timeframe	M15 (15 Minutes)	Times the precise entry trigger

CHAPTER 3

Indicator Framework

The indicator set stays deliberately minimal to keep the logic transparent and easy to audit inside a bot.

Indicator	Timeframe	Role
EMA 20	H1	Fast trend EMA / pullback reference
EMA 50	H1	Slow trend EMA / trend baseline
ATR (14)	H1	Structure-relative stop-loss sizing
ADX (14)	H1	Optional filter: confirm trend strength when > 20

ATR now plays a structural role rather than a purely optional one: it sets the floor for how far a stop must sit from price, alongside the most recent swing point.

CHAPTER 4

Trend Identification Rules

Trend direction is determined exclusively on the H1 chart. All conditions in a direction must be true simultaneously — if even one fails, no trade is taken in that direction.

BUY Conditions

- EMA20 > EMA50 on H1
- Price closes above EMA50
- EMA50 is sloping upward
- Higher highs and higher lows are present

SELL Conditions

- EMA20 < EMA50 on H1
- Price closes below EMA50
- EMA50 slopes downward
- Lower highs and lower lows are present

CHAPTER 5

Entry Setups

Two entry setups are available. Select and commit to ONE setup per deployment rather than mixing them within the same running instance.

Setup A — EMA Pullback

Price pulls back to the H1 EMA20 in the direction of the established trend, then a confirmation candle on M15 times the entry.

BUY Trigger

- Price pulls back toward EMA20 on H1
- M15 prints one bullish confirmation candle
- (e.g. strong bullish close or bullish engulfing)
- Enter at the close of the confirmation candle

SELL Trigger

- Price pulls back toward EMA20 on H1
- M15 prints one bearish confirmation candle
- Enter at the close of the confirmation candle

Setup B — Breakout & Retest

Trades the retest of a broken H1 structural level, confirmed by a rejection candle on M15.

BUY Trigger

- H1 resistance breaks with a strong close
- Price retests the broken level
- M15 prints a bullish rejection candle

SELL Trigger

- H1 support breaks with a strong close
- Price retests the broken level
- M15 prints a bearish rejection candle

CHAPTER 6

Stop-Loss Placement

Stops are structure-based rather than fixed-point, using whichever of the two reference levels is farther from price — this keeps the stop from sitting inside normal volatility.

BUY Stop-Loss

- Below the latest confirmed H1 swing low, OR
- $1.5 \times \text{ATR}(14)$ below entry
- — use whichever is farther from price

SELL Stop-Loss

- Above the latest confirmed H1 swing high, OR
- $1.5 \times \text{ATR}(14)$ above entry
- — use whichever is farther from price

NEVER WIDEN THE STOP

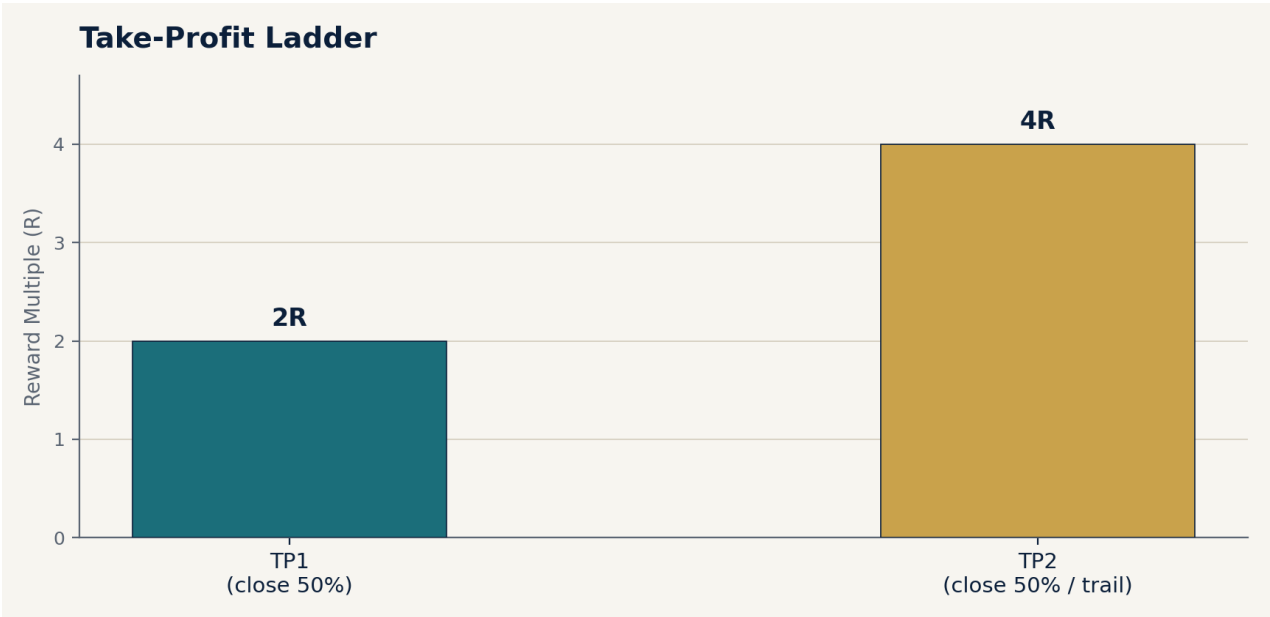
Once a stop-loss is set at entry, it can only move to breakeven or trail in the trade's favor. It is never widened after entry.

CHAPTER 7

Take-Profit Ladder & Exit Rules

Profit-taking is staged across two targets, with the second target left open to trail as long as the H1 trend remains intact.

Target	R-Multiple	Action
TP1	2R	Close 50% of the position; move stop-loss to breakeven
TP2	4R (or trail)	Close the remaining 50%, or trail until the H1 trend reverses



Immediate Exit Conditions

Close BUY If • EMA20 crosses below EMA50 • H1 closes below EMA50 • A confirmed lower low forms	Close SELL If • EMA20 crosses above EMA50 • H1 closes above EMA50 • A confirmed higher high forms
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CHAPTER 8

Risk Management

- Risk 1% per trade (2% only once the strategy is verified over many trades)
- Maximum daily loss: 3% of account balance
- Stop trading after 2 consecutive losses
- Maximum 3 trades per currency pair, per day

HARD STOP RULE

If the daily loss limit, the consecutive-loss limit, or the per-pair trade cap is reached, all trading on that pair (or account, depending on the limit) stops until the next trading day. This rule should be enforced at the bot's execution layer, not left to discretion.

CHAPTER 9

News Filter

High-impact news events can invalidate technical structure within seconds. The system stands aside around these windows rather than trying to trade through them.

- Do not open new trades 30 minutes before high-impact news
- Do not open new trades during high-impact news
- Do not open new trades until 30 minutes after high-impact news

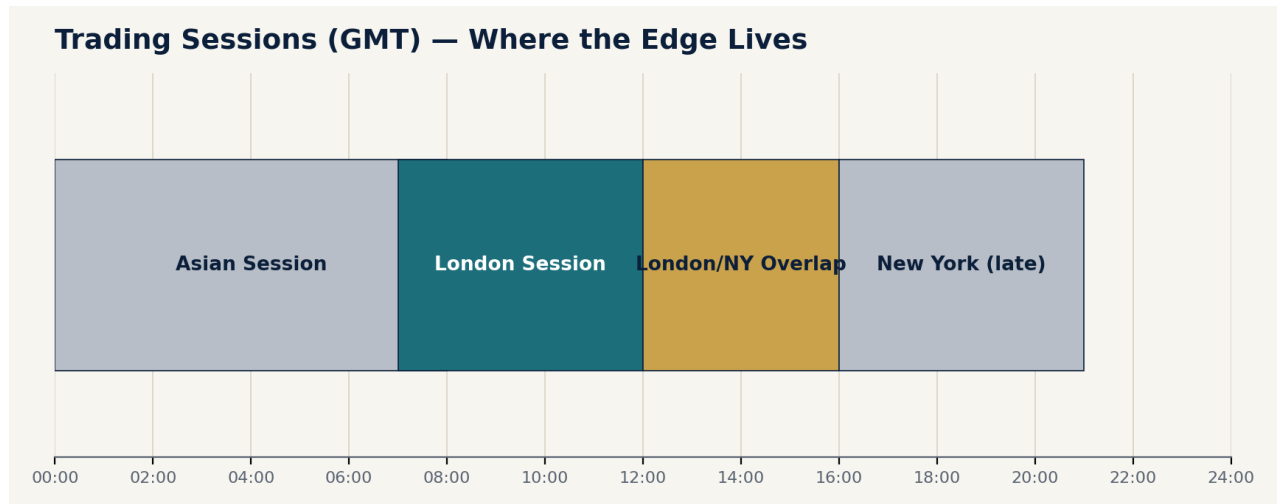
WHY IT MATTERS

This filter exists purely to avoid unpredictable, structure-breaking volatility around scheduled releases — it is not a prediction about which direction news will move price.

CHAPTER 10

Trading Sessions

Liquidity and volatility both concentrate around specific windows in the trading day. Trading inside the strongest windows gives entries and stops more room to behave as designed.

**Best Windows**

- London Session
- London / New York Overlap

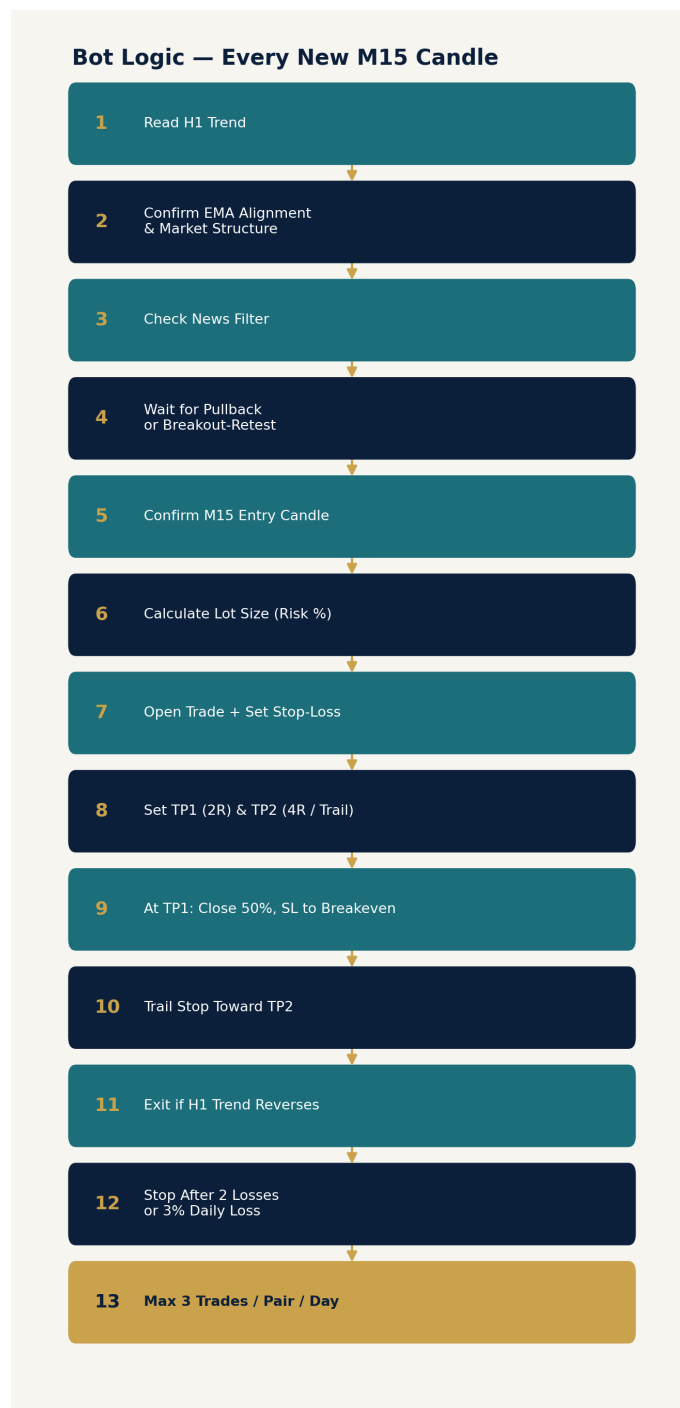
Generally Avoid

- Late New York session
- Low-liquidity Asian session for most majors
- (unless specifically tested for those conditions)

CHAPTER 11

Bot Logic Flow

The complete decision sequence the bot (or a disciplined manual trader) runs through on every new M15 candle, from trend read to daily circuit-breaker.



CHAPTER 12

Final Trade Checklist

A last-pass audit before any position is opened. If any box cannot be checked, the trade is skipped.

- H1 trend confirmed
- EMA20 positioned above/below EMA50
- Higher highs/higher lows (or lower highs/lower lows) present
- No high-impact news in the restricted window
- Valid pullback or breakout-retest setup present
- M15 confirmation candle present
- Risk is within limits (1%, or 2% if verified)
- Stop-loss placed at structure or $1.5 \times \text{ATR}$, whichever is farther
- Take-profit levels set (TP1 at 2R, TP2 at 4R or trailing)
- Daily loss limit not reached
- Consecutive loss limit not reached
- Per-pair daily trade cap not reached

CLOSING NOTE

This is a solid baseline for a Forex trading bot, not a finished, guaranteed system. Backtest it over several years and across multiple currency pairs, then forward-test on a demo account. That process is what determines whether the rules are robust enough for live trading.